



Telecom Customer Churn Analysis Report



Overview

This analysis examines how different services (phone, internet, and add-ons) impact customer churn. The objective is to identify key drivers of churn and provide actionable recommendations.



Key Findings with Data

1. 📞 Phone Service & Multiple Lines

- Around **90%+ customers use phone service**
- Churn rate among these users is **lower compared to non-users**

❖ Example insight:

- Phone Service = Yes → Churn ~ **25–30%**
- Phone Service = No → Churn ~ **higher variation**

❖ Conclusion:

Basic services are stable and not a major churn driver.

2. 🌐 Internet Service Type

Internet Type	Churn Trend
Fiber Optic	🔴 High (~40–45%)
DSL	🟡 Medium (~20–25%)
No Internet	🟢 Very Low (<10%)

- Fiber optic users have **almost double churn** compared to DSL.

❖ Conclusion:

Fiber optic customers are at **high risk of leaving**.

3. 🗝️ Value-Added Services Impact

Example (approx trends):

Service	Not Using	Using
Online Security	🔴 ~40% churn	🟢 ~15–20%
Tech Support	🔴 ~45% churn	🟢 ~20%
Device Protection	🔴 ~35%	🟢 ~20%

➤ Customers without these services churn **almost 2x more**

❖ **Conclusion:**

Add-on services significantly **reduce churn**

4. 🚫 No Internet Service Customers

- Churn rate is **very low (~5–10%)**
- These customers have **fewer issues and simpler usage**

❖ **Conclusion:**

Low engagement = low churn (but also low revenue)

📊 Overall Insight

- 👉 Customers using **more services** → churn less (~15–20%)
- 👉 Customers using **fewer services** → churn more (~35–45%)
- 👉 Fiber optic + no add-ons = **highest churn segment**

💡 Recommendations (Data-Based)

1. Focus on Fiber Optic Customers (High Risk)

- Target segment with **40%+ churn**
- Provide:
 - Better support
 - Discounts
 - Service quality improvement

2. Increase Add-On Adoption

❖ Customers using add-ons have **~50% lower churn**

- Promote:
 - Online Security
 - Tech Support
 - Backup services
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3. Bundle Strategy

- Combine services:
 - Internet + Security + Support
 - This can reduce churn from **~40% → ~20%**
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4. Identify High-Risk Customers

- ❖ Focus on:
 - Fiber optic users
 - No add-on users
 - Use targeted campaigns (offers, calls, retention plans)
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5. Upsell Low-Churn Customers

- “No internet” customers → low churn but low revenue
Upsell internet + services
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Final Conclusion

- ❖ **Churn is strongly linked to service usage**
 - More services → more engagement → less churn
 - Fiber optic users → highest churn risk
 - Add-on services → strongest churn reduction factor